



2025 Pre-Release: Music Industry

Contents

- * Pre-release context
- * Trends in the consumption of recorded music
- * Businesses in the UK music retail market
- * Business growth and objectives
- * Global music recording and distribution businesses
- * Music entrepreneurs
- * Live music events in the UK
- * Managing resources at live music events
- * Practice questions



The 2025 Pre-release context

- This year the context is the music recording, distribution, and live performance industries, and the businesses operating in this market



Photo by Lee Blanchflower on Unsplash

- To prepare for this year's context, you should research:
 - Current trends in the consumption of recorded music
 - Different businesses in the UK music retail market: independents and multinationals
 - Business growth and objectives in the music retail and distribution sector
 - Global music recording and distribution businesses
 - The roles and qualities of entrepreneurs setting up music events
 - Live music events in the UK and the businesses operating in these
 - Managing resources at live music events
- You cannot take any of your research or investigation data carried out as part of the pre release into the examination

Using the pre-release context

Make the most of the pre-release themes



- The pre-release outlines key topics (such as consumption trends, festival organisation, and global music distribution)
- Although the source booklet you are given on the day of the exam will contain unseen extracts, they'll connect to these broad themes



Examiner Tips and Tricks

For each bullet point in the pre-release, draft a mini-summary of the main ideas (e.g. streaming vs. vinyl, local festivals vs. major promoters)

Match bullet points to frameworks you've learnt, such as Porter's Five Forces, SWOT, the product life cycle and so on

Gather broad knowledge

- Having some context about how retailers or festivals in the music industry operate lets you spot key issues quickly. Yet there's no need to cram endless stats—your chief priority is using the brand-new data from the exam extracts
- Read about how record labels earn revenue or how large music events get sponsors
- Understanding the “why” behind numbers means you can interpret them more easily under exam conditions
- The exam might focus on a niche festival's weather challenges or a global distributor's shift to streaming
- A general sense of trends and problems in the music industry will help no matter which angle appears

Practice handling unseen extracts

- Paper 3 introduces brand-new extracts in the exam itself
- You must read them quickly and apply business principles on the spot



Examiner Tips and Tricks

Use previous Paper 3 or practice examples, set a timer, read extracts once or twice and outline how you'd structure answers

Look out for issues like rising costs, changing market shares, or staff turnover. These clues often guide you to theories or concepts you can discuss

Strengthen your numeracy skills

- Paper 3 typically includes calculations or data interpretation (e.g. profits, capacity, or market shares). Many students lose marks by rushing or mixing up figures



Your notes

- Make sure you're comfortable with break-even, profit margins, ratio analysis, and so on
- After doing a quick calculation, practice adding a sentence about what that number really means for the business scenario

Plan for essay questions in context

- In the exam, your responses must be grounded in the music industry extracts. General discussion of business concepts alone isn't enough
- Perfect your structure for each type of question (8-, 10-, 12-, and 20-mark)
- Your structure must provide opportunities to
 - **State** a clear point or define the concept
 - **Apply** to the scenario—quote facts or figures from the extract
 - **Analyse** with a chain of reasoning (causes, effects, potential outcomes)
 - **Evaluate** by balancing pros/cons or introducing “it depends” factors
- Show you can see both positives and negatives. For example, an independent record shop may benefit from vinyl's popularity but be threatened by online competition

Be ready for the unexpected

- Although you know the general theme, the specific businesses or statistics in the **unseen extracts** might surprise you.



Examiner Tips and Tricks

When you read the full extract in the exam, identify the core concept. Whether it's staff motivation at a small venue or resource management for an emerging music festival, link it back to theories (like Herzberg for motivation, or stakeholder mapping for festival communities)

You'll have enough data in the extract to form a relevant answer. The exam expects you to apply concepts to the given information, not to recall heaps of outside facts



Key data

- According to the BPI (British Phonographic Industry), UK spending on recorded music increased by 4.8% to £1.49bn **in 2024**
 - Physical music sales rose by 1.3% to £246.5m
 - Digital download revenue dropped by 6.6% to £24.3 million
 - Streaming revenue totaled £1.02 billion to make up 68.1% of recorded music revenue
- UK recorded music consumption across sales and streams rose 9.7% last year to 200.5 million albums

Physical and digital formats

Dominance of digital consumption

- Since 2014, annual streaming revenue has increased by more than 800% in total to become the **main format for recorded music** in the UK
- In 2024, the UK's music consumption reached a record 201.4 million album equivalents, with streaming accounting for approximately **68% of total recorded music revenue**
 - Paid subscriptions to services such as **Amazon, Apple, Spotify** and **YouTube** make up the vast majority of streaming revenue
 - These brought in £875.5 million in 2024 and account for more than 86% of the £1.02 billion UK streaming market
 - Digital **download revenue dropped by 6.6%** to £24.3 million, the second year in a row of modest decline

Resilience of physical formats

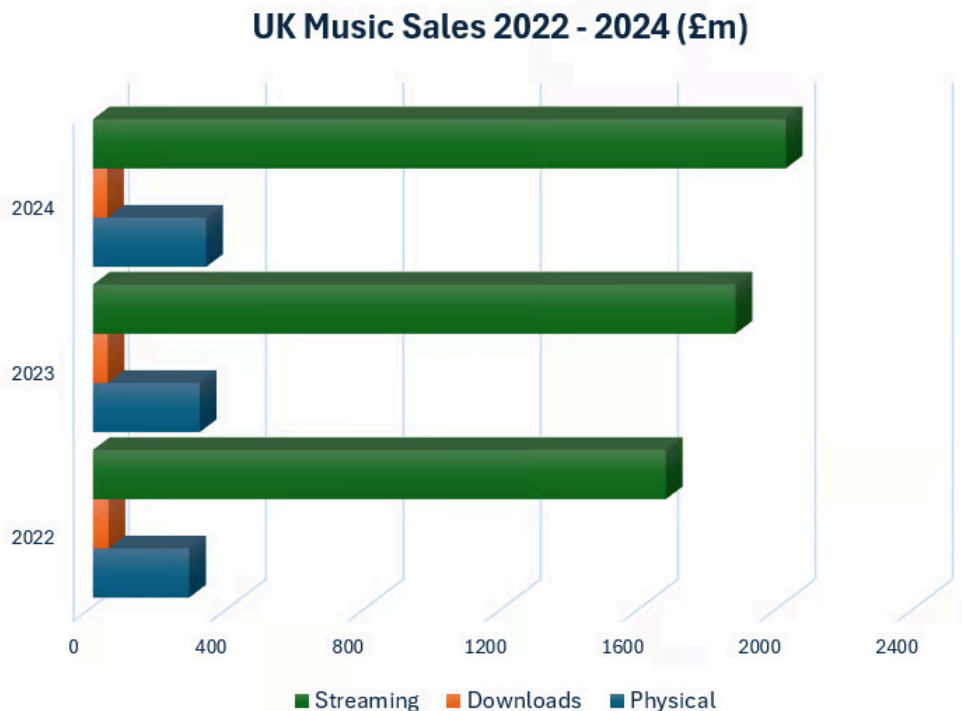
- Physical formats like vinyl and CDs saw a combined revenue increase of 1.3% in 2024, amounting to £246.5 million
 - Revenue from **sales of vinyl LPs rose** by 2.9% to £145.7 million
 - Revenue from vinyl grew more than 650% from £19.4 million in 2014
 - 6.7 million units were sold, an increase of 9.1%
 - In 2014, half of the year's Top 10 sellers were catalogue (older) titles
 - Brand new releases play an increasingly significant role in growth - in 2024 eight of the year-end Top 10 were current releases, including Taylor Swift's *The Tortured Poets Department* and Charli XCX's *Brat*
 - Revenue from **sales of CDs fell by 0.5%** in 2024 to £96.7 million

- Over the last three years **CD sales have stabilised** to become a £90 million-plus annual market
- In 2024, purchases totalled 10.5 million units
- Like vinyl, the CD market is led by the popularity of new releases
- Examples include new albums by Coldplay and Sabrina Carpenter

Revenue distribution between physical and digital formats over recent years



Your notes



Source: Entertainment and Retail Association, 2024

Dominance of streaming platforms

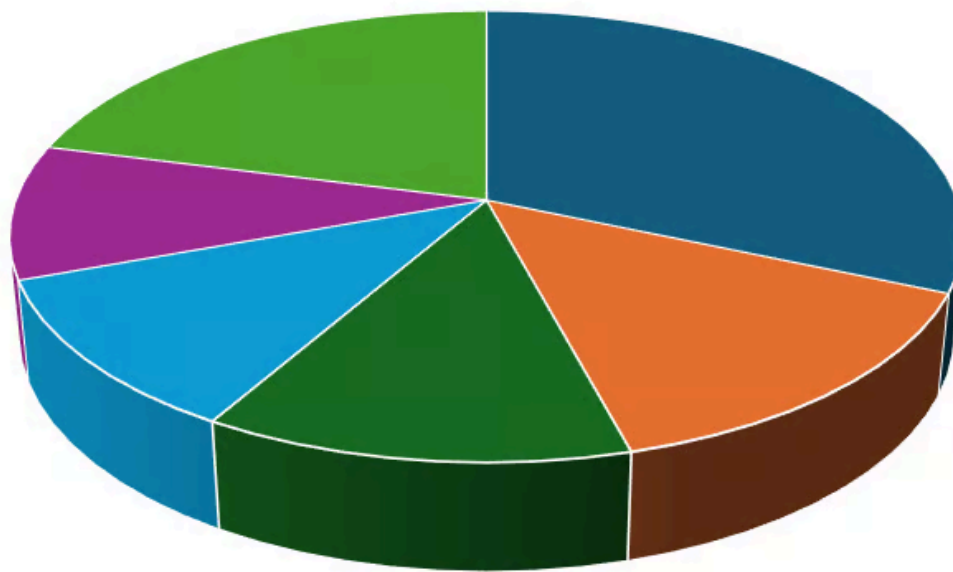
Market share of streaming services

- Streaming platforms like Spotify, Apple Music, and Amazon Music dominate the UK market, with streaming accounting for 68% of total recorded music revenue in 2024

Subscribers by Streaming Platform, 2024



Your notes



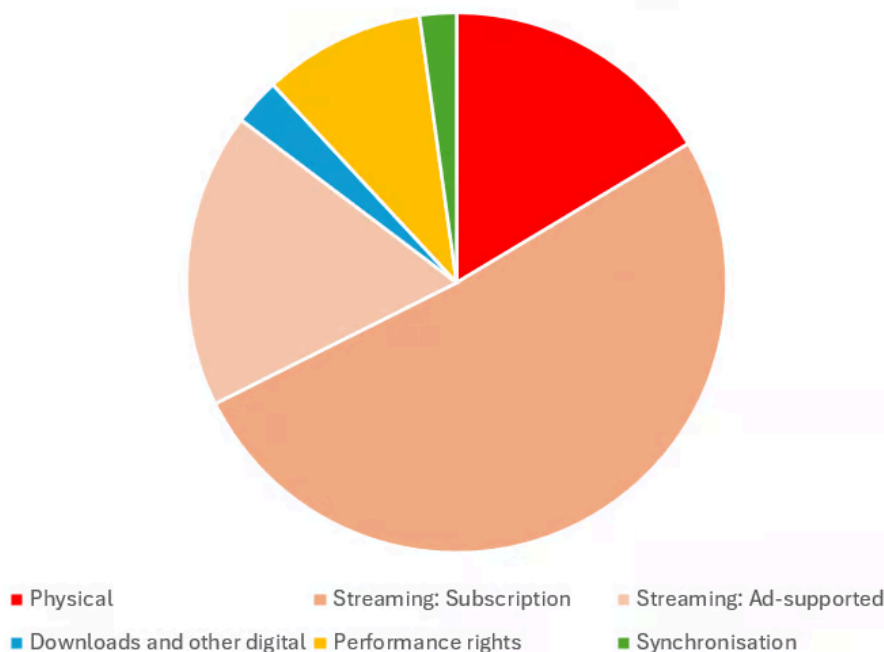
■ Spotify ■ Tencent Music ■ Apple Music
■ Amazon ■ YouTube Music ■ Others

Source: Statista.com, 2024

Subscription growth

- The UK saw a 7.8% rise in streaming subscriptions in 2024, highlighting that there is a growing number of consumers willing to pay for music access
- Streaming has become a significant revenue source for artists

Global recorded music revenue share by format, 2024



Source: *ibfi.org* 2024



Your notes

Growing importance of playlists

- Platforms like Spotify use **advanced algorithms** to curate personalised playlists such as 'Discover Weekly'
 - These playlists increase user engagement and encourage new music discovery
 - They have shifted listeners from active searching to passive discovery, impacting how new music is consumed and popularised



Your notes



- **Artificial intelligence** is used to analyse user preferences, refining recommendations and influencing listening patterns
 - For artists, reliance on algorithms creates a **challenge for visibility**, as breaking into popular playlists can be competitive and algorithm-dependent

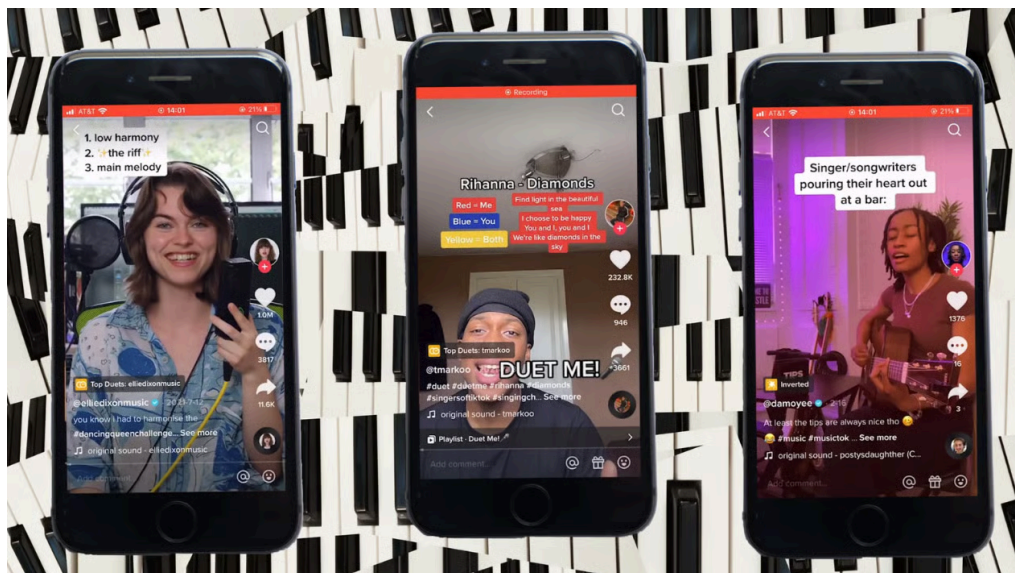
The influence of social media

TikTok's impact on music consumption

- TikTok has emerged as an **important platform for music discovery**, with viral trends leading to mainstream success for some songs and artists
 - In 2024, 10 of the 11 UK Official Chart number ones were tied to major TikTok trends
- The platform has led to the **resurgence of older songs**
 - In 2024, 19 out of the top 50 tracks on UK TikTok posts were more than five years old
- Virality on TikTok often leads to **increased streams** on music platforms, leading to additional revenue and exposure
 - Tik Tok users are 68% more likely to use a paid-for music streaming subscription than the general population
- Musicians are increasingly **using TikTok for promotion** to engage directly with fans and use the platform's algorithm to reach broader audiences



Your notes



Vinyl revival

- Vinyl sales in the UK have experienced a revival in recent years, with over 6.7 million units sold in 2024, marking the 17th consecutive year of growth
- There are several reasons for this revival
 - Many listeners appreciate the **physicality** of vinyl records, including the larger album artwork and the act of playing a record
 - Vinyl enthusiasts often argue that records provide a **warmer, more authentic sound** compared to digital recordings
 - The **vintage nature of vinyl** records appeals to both older generations reminiscing and younger listeners drawn to retro trends
 - Purchasing vinyl records is seen by fans as a direct **way to support their favourite artists**, especially as streaming royalties are usually small
 - **Record Store Day**, established in 2007, has played a key role in promoting vinyl, encouraging exclusive releases and driving traffic to independent record stores
 - Vinyl releases often include **exclusive content** such as bonus tracks, special artwork and coloured discs, enhancing their appeal
- The return of vinyl records to the **UK's inflation basket** in 2024 reflects their renewed significance in consumer spending habits



Your notes



An introduction to the UK music retail market

- UK customers buy physical recorded music through a mix of independent shops, national chains, online platforms, and supermarkets
- Independent record stores, such as Rough Trade and Banquet Records, offer vinyl and CDs, and some host live events to engage local music communities
- Major high street retailers like HMV provide a broad range of titles across many genres
- Supermarkets, including Tesco and Asda, also sell popular music releases, largely in CD format, at competitive prices
- Online platforms – especially [amazon.co.uk](https://www.amazon.co.uk) and [hmv.com](https://www.hmv.com) – are a major outlet for buying physical music, offering convenience, wide availability and home delivery

Notable Retailers:

- **HMV:** With its significant presence on the high street, HMV is the UK's biggest music retail chain and its [hmv.com](https://www.hmv.com) website is a key online source
- **Amazon UK:** A major online retailer that sells physical music products as well as a popular streaming platform (Amazon Music)
- **Rough Trade:** Known for its focus on independent and alternative music, with stores in cities like London and Nottingham as well as a successful online store
- **Banquet Records:** Based in Kingston upon Thames, this store is known for combining retail with live music promotion
- **Gatefield Sounds:** A respected independent shop in Whitstable with a broad and loyal customer base

Multinational retailers

HMV



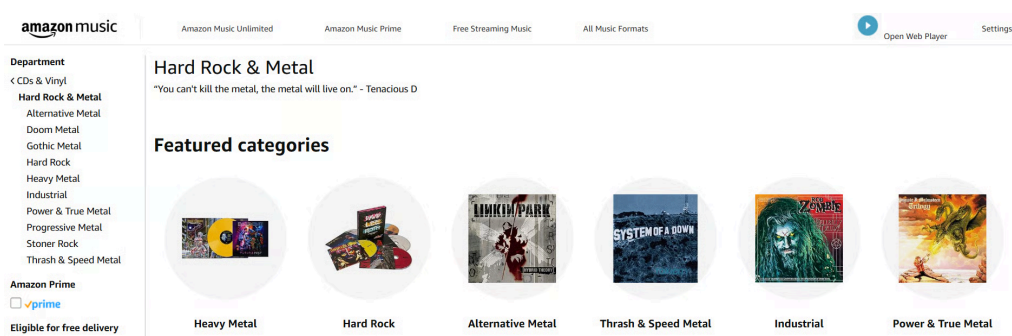


- HMV, originally called His Master's Voice, opened its first store on London's Oxford Street in 1921
- It quickly became a leading UK music retailer, known for selling vinyl, CDs, DVDs and video games
- After facing severe financial difficulties due to competition from digital downloads and streaming, HMV entered administration in 2013 and again in 2018
- It was rescued by Sunrise Records & Entertainment in 2019, which revitalised the brand
- In recent years it has expanded its vinyl offer, merchandise and pop-culture products, increasing its profitability
- The company's Birmingham outlet, the largest entertainment store in Europe, sold 25,000 vinyl albums, 80,000 CDs and 40,000 DVDs in 2022

HMV's business approach

Aspect	Approach
Product range	■ HMV offers a diverse selection, including music CDs, vinyl records, DVDs, Blu-rays, video games and music merchandise ■ It has expanded to include technology products like headphones and speakers
Customer service	■ HMV focuses on the in-store experience by integrating digital initiatives such as in-store wi-fi and digital kiosks ■ These allow customers to explore and discover new products
Pricing strategies	■ HMV employs competitive pricing, often bundling products and offering promotions to attract customers ■ Examples include the popular '3 for £66 range, available in-store and online ■ It also offers a loyalty program, PureHMV, to encourage repeat business
Marketing tactics	■ HMV uses a multichannel approach, combining its online platform with physical stores ■ Stores host live events and signings to draw customers into stores, creating a community around the brand

Amazon UK



- Amazon.co.uk sells a wide range of CDs and vinyl records
- Customers can easily browse popular albums, new releases, and exclusive versions like coloured vinyl or signed copies
 - These special editions attract music collectors and fans
- Although Amazon doesn't publish exact sales figures, it plays an important role in selling CDs and vinyl in the UK

Amazon's business approach

Aspect	Approach
Product range	■ Amazon UK offers a wide range of music products, including CDs, vinyl records, digital downloads and streaming services through Amazon Music Unlimited
Customer service	■ Amazon is known for its efficient delivery system, offering options like next-day delivery for Prime members ■ Their customer service includes easy returns and 24/7 support
Pricing strategies	■ Amazon uses dynamic pricing strategies, adjusting prices based on demand, competition and other factors ■ It often uses psychological pricing, setting prices just below round numbers (e.g. £9.99) to make products appear more affordable
Marketing tactics	■ Amazon uses personalised marketing, using customer data to recommend products ■ They also offer promotions like free trials for Amazon Music Unlimited to attract new users

Independent retailers

- In 2024, there were 461 independent record shops in the UK, 122 more than 10 years ago

- Between them, these stores sold more than 2.2 million records

Rough Trade



Your notes



- Rough Trade was founded by Geoff Travis in 1976 as a small record shop in Ladbrooke Grove, **London**
 - It quickly became a hub for punk and alternative music fans, fostering a community where customers could discover new artists and connect with fellow enthusiasts
- In 1978, Rough Trade expanded into a **record label**, famously signing The Smiths
- Today, Rough Trade has six UK stores – two in London and others in Bristol, Nottingham, and Liverpool. There is also store at Rockefeller Center in New York
- Rough Trade has tripled its share of the UK vinyl market over the last five years
 - By December 2023, Rough Trade Retail (UK) Limited achieved sales of £16.8 million, driven by a 10% increase in physical music sales and 15% growth in store visitors over the previous year
 - Its website attracted more than 760,000 visits in February 2025

Rough Trade's business approach

Aspect	Approach
Product range	- It specialises in vinyl records, focusing on independent and alternative music genres - It also sell books, magazines and music-related merchandise
Customer service	Rough Trade emphasises creating a community atmosphere with knowledgeable staff who provide personalised recommendations

Pricing strategies	Prices are set to reflect the niche market, often higher than mainstream retailers due to the focus on independent labels and limited editions
Marketing tactics	- Rough Trade hosts in-store events and live performances to engage customers - In 2024, they hosted over 800 events across their stores, enhancing the in-store experience.



Your notes

Banquet Records



- Banquet Records, located in Kingston upon Thames, became fully independent in 2002 and is currently owned by former staff members Jon Tolley and Mike Smith, who transformed it from a struggling business into a major music hub
- The store and website specialise in vinyl and CDs across genres including indie, punk, emo, dance, and hip-hop
- Banquet hosts over 200 shows a year in-store and at local venues
 - Acts like The Who, Billie Eilish, and Stormzy have played at Banquet-linked events.
- It is credited with helping several artists reach No.1 in the UK charts and is seen as one of the country's most influential record stores
- It lives up to its slogan, "More than just your local record store," by blending retail with live music experiences

Banquet Records' business approach

Aspect	Approach
Product range	- Banquet offers a large selection of vinyl records, CDs, and tickets for local music events - It focuses on indie, punk and alternative genres
Customer service	- It is known for its strong ties to the local community, providing a personalised shopping experience - It actively supports upcoming bands and new music
Pricing strategies	Banquet pursues a competitive pricing strategy with an emphasis on value, often bundling concert tickets with album purchases
Marketing tactics	It organises and promotes local events and club nights, such as the weekly 'New Slang' event, to foster a vibrant music community

Gatefield Sounds



- Whitstable's Gatefield Sounds is a family-run independent record shop founded in 1972
- The shop offers a diverse selection of vinyl records and CDs, catering to a wide range of musical tastes from Abba to Zappa, with serves customers aged 7 to 95
- Gatefield Sounds has hosted in-store performances, including a notable event by the band Slaves
- In recognition of its contribution to the music community, Gatefield Sounds was shortlisted among the UK's top 20 independent record shops by Long Live Vinyl in 2019

- The shop continues to thrive, reflecting the dedication of its owners to fostering a vibrant local music scene

Gatefield Sounds' business approach



Your notes

Aspect	Approach
Product range	▪ Gatefield Sounds offers a diverse selection of music across various genres on both vinyl and CD, catering to a wide audience ▪ It stocks music from a wide range of artists, ranging from Abba to Frank Zappa
Customer service	▪ They provide an efficient ordering service for items not in stock and can order films, DVDs, and Blu-rays ▪ As a family-run business established in 1972, Gatefield Sounds is praised for its knowledgeable and friendly staff who offer personalised recommendations ▪ Customers appreciate the welcoming atmosphere and the owner's expertise
Pricing strategies	▪ The shop offers reasonable prices for its wide selection of vinyl and CDs, balancing affordability with the value of physical music formats
Marketing tactics	▪ The shop hosts in-store live performances and album signings from both established and emerging artists ▪ Gatefield maintains an active presence on social media platforms like Facebook and Instagram to update customers on new releases and events ▪ The business participates in Record Store Day, offering exclusive releases and fostering a sense of occasion with traditions like providing sausage rolls to early customers



Growth strategies

■ Digital transformation and platform expansion

- UK retailers and distributors have increasingly moved online to reach consumers through streaming, digital downloads and direct-to-consumer (D2C) platforms
 - **HMV** focuses on a vinyl-heavy product mix and event-based experiences in its stores, promoted through HMV Live
 - Its website is the number one online vinyl retailer in the UK
 - **Amazon.co.uk** allows customers to access purchased music on its Amazon Music subscription platform
- Businesses like **Spotify** and **Apple Music** have invested heavily in developing their global presence
 - For example, Spotify is now active in over 180 countries

■ Mergers and takeovers

- UK-based indie labels are often acquired by larger distributors or labels
 - For example, **Warner Music Group** bought UK indie label 300 Entertainment and **Universal Music Group** regularly acquires rights to high-profile artist catalogues (e.g. Queen, Bob Dylan)
- Mergers and takeovers increase the market share of record labels, strengthen their catalogues and give them more negotiating power with digital platforms such as Spotify

■ Vertical integration and diversification

- Record labels are increasingly involved in areas such as merchandise, ticketing and social media content production
 - For example, **Sony Music** and **Universal Music** have launched their own in-house branding and creative services to support artists

■ Niche market growth and localisation

- Growth has also come from the resurgence of niche products, especially **vinyl**.
- The UK saw over **5.9 million vinyl records sold in 2023**, the highest in 30 years
- Independent record shops (like **Gatefield Sounds** and **Rough Trade**) contribute to growth by targeting specific demographics and creating experiences rather than competing on price

Key business objectives

- **Increase in market share**



Your notes

- For global platforms like **Spotify**, growing the number of users (free and premium) is critical
 - In the UK, Spotify holds a leading share of the streaming market (around 58% in 2023)
- Record labels aim to expand shelf space in major retailers such as HMV or increase artist placements on streaming playlists
- **Profitability and sustainable revenue**
 - Streaming offers recurring revenue through subscriptions but lower revenue per stream
 - Record stores look to increase profitability through bundling (album + event), exclusive vinyl releases and participation in events such as Record Store Day
- **Customer retention and brand loyalty**
 - Subscription models (e.g., Spotify Premium, Amazon Music) depend on customer retention
 - They invest in user experience such as personalised playlists and artist exclusives
 - Independents focus on loyalty through community events, knowledgeable staff and strong branding (e.g. Banquet Records' integration with local gigs)
- **Artist development and catalogue expansion**
 - Labels pursue growth by signing emerging artists and acquiring back catalogues
 - This fuels long-term streaming revenue and licensing potential, such as Netflix/TV deals
 - For example, **Beggars Group**, a UK indie label collective, invests heavily in long-term artist development over short-term hits

Challenges to growth

- Even though the music industry is growing, especially with streaming, there are still many problems that can make it harder for music businesses to grow
- These are some of the biggest challenges

Challenge	Explanation	Example
Too many competitors (market saturation)	■ There are already lots of companies offering music in the UK, like Spotify, Apple Music, Amazon Music and YouTube Music ■ Most people who want to stream music already have an account, so companies are now fighting over the same customers	■ Spotify is the most used music app in the UK ■ Smaller streaming services like Deezer or Tidal struggle to compete



Your notes

	It's harder for new businesses to enter the market or for small firms to grow	
Changes in how music is consumed	- People don't buy CDs as much anymore and often listen to short clips on social media (like TikTok or Instagram Reels) - Younger listeners might hear just 15 seconds of a song before deciding if they like it - This means artists and music businesses must promote songs differently, and it's harder to keep fans' attention	The song "Old Town Road" by Lil Nas X became famous on TikTok before it was played on radio or sold in shops
Artists not being paid fairly (low royalties)	- Musicians earn very little each time someone streams their song - Most of the money goes to the big platforms or record labels - This causes arguments in the industry, and some artists feel they are being treated unfairly	- A UK campaign called Broken Record is asking for artists to be paid more fairly from streaming - In 2022, the UK's Competition & Markets Authority announced a study into the structure of the music streaming market
Illegal downloading and stream ripping	- Even though more people use legal services like Spotify, some still use illegal websites to download or copy songs for free - This means the music business loses money and can't invest as much in new music or artists	- In the past, websites like LimeWire or Pirate Bay were very popular for free music downloads - Nowadays 'stream ripping' from YouTube is a significant problem
Harder for small shops to survive	Independent record shops (like Gatefield Sounds or Spillers Records) have to compete with big online stores like Amazon	In 2023, Faversham's Creekside Vinyl closed down because of rising costs and fewer customers after COVID-19

- | | | |
|--|--|--|
| | <ul style="list-style-type: none">■ Rent, wages and bills are rising, and not all small shops can afford to keep going without local support | |
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Your notes



Major companies

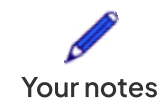
- The global music industry is dominated by three very large companies
- Together, they make more than **65% of global recorded music sales**

Universal Music Group	Sony Music Entertainment	Warner Music Group
		
▪ Universal is the biggest music company in the world ▪ In 2023, it made about 32% of all music sales globally ▪ Head office is in Amsterdam ▪ Owns famous labels like Interscope, Capitol, Republic and Def Jam ▪ Artists include Taylor Swift, Drake, BTS, and Billie Eilish	▪ It 2023, Sony Music Entertainment made up about 21% of global music sales ▪ Based in New York ▪ Owns Columbia, RCA and Epic ▪ Artists include Beyoncé, Adele, and Harry Styles	▪ It 2023, Warner Music Group made around 13% of global music sales ▪ Based in New York ▪ Owns Atlantic, Warner Records and Parlophone ▪ Artists include Ed Sheeran, Dua Lipa, and Cardi B

- These three companies work with most of the world's biggest artists and control many of the rights to their music
- This gives them significant power when it comes to selling, promoting and licensing songs

Standardisation versus localisation

- Globalisation means music can now be shared and enjoyed all over the world more easily



Standardisation

- Lots of hit songs sound similar around the world, especially in pop music
- English is still the main language used in global hits
- Many companies use the same type of marketing and promotion in every country

Localisation

- Local music styles like **K-pop (Korean pop)**, **Afrobeats (West Africa)** and **Latin reggaeton** have become popular around the world
- Music companies are now signing local artists and making content that fits different cultures
 - For example, Universal has started **Def Jam Africa** and **Virgin Music Latin America** to support local talent
 - In India, Sony Music produces music in different local languages and styles

Digital distribution networks and partnerships

- Most music is now shared and sold online using digital platforms.

Streaming services

- **Spotify** is the biggest music streaming app, with over **515 million users** in 2023
- Other popular ones include Apple Music, Amazon Music, and Deezer
- Music companies let these platforms use their music and then get a share of the money (around **50–55%** of what the platform earns)
- Artists are paid **about \$0.003 to \$0.005 per stream**

YouTube

- Over **2 billion people** use YouTube every month
- Many fans discover new songs through YouTube videos
- Music companies earn money from ads and YouTube Music subscriptions

TikTok

- Increasingly important for making songs go viral
- Songs that become popular in short videos can become global hits
- Music companies work with TikTok to promote new artists and trends

New platforms



Your notes



- Games like **Roblox** and **Fortnite** are used for virtual concerts
- Companies like UMG and WMG create **interactive events**, where fans can join in online
- This helps connect with young fans in new ways

Revenue streams

- Music companies now make money in **many different ways**, not just by selling CDs or downloads

Streaming royalties

- This is the **biggest source of income**—about **67%** of all recorded music revenue in 2023 (around **\$18.8 billion**)
- It comes from paid subscriptions and adverts on services like Spotify

Licensing agreements

- Music is used in **TV, films, video games, adverts** and **social media**
- Music companies sell the rights to use their songs (this is called **sync licensing**)
 - These deals can be worth thousands or even millions of dollars, depending on the artist and where the song is used
 - They can launch the careers of new artists as well as revive the careers of established artists
 - **Kate Bush's "Running Up That Hill"**, originally released in 1985, prominently featured in the fourth season of the popular Netflix sci-fi series **Stranger Things**. It entered the US Billboard Hot 100 at No. 8 in 2022

Merchandise

- This includes **T-shirts, posters** and special items with the artist's name or image
- Universal and Warner both have their own merchandise businesses

- **Beyoncé's** 2023 Renaissance tour merchandise made over \$30 million alone

Other income sources

- **Vinyl records and CDs** remain popular in some countries like the UK, Japan and Germany
 - In 2023, vinyl sales reached \$1.2 billion, the highest in 40 years
- Some companies are also trying new ideas like **NFTs**, which are digital collectables, and **virtual concerts** in the 'metaverse'
 - These new tools help companies earn money in the future and connect with younger fans



Your notes



The roles of music event entrepreneurs

Planning and organisation

- Entrepreneurs are responsible for turning an idea into a real event
- This means choosing dates, locations, target audiences, and schedules
- They must also plan for things like toilets, parking, security, food stalls, and ticket sales



Examiner Tips and Tricks

Example: Emily Eavis and her team carefully plan Glastonbury Festival each year, often booking artists and suppliers years in advance

Financial management

- They need to budget for all costs (e.g., staging, staff, artist fees, security) and find ways to earn money (e.g., ticket sales, sponsorship)
- They may also apply for funding or investment



Examiner Tips and Tricks

Example: Smaller festivals often rely on early ticket sales ("early bird" offers) to raise money for upfront costs

Marketing and promotion

- The entrepreneur must promote the event to attract ticket buyers and build excitement
- This could involve social media, local advertising, radio, posters, and partnerships with influencers or radio stations



Examiner Tips and Tricks

Example: Wireless Festival uses Instagram, TikTok and YouTube ads to reach younger audiences

Artist and supplier management

- Entrepreneurs negotiate contracts with performers, stage crews, lighting providers, security companies and caterers
- They must also keep artists happy so they want to return or give good reviews



Your notes



Examiner Tips and Tricks

Example: Melvin Benn, organiser of Reading and Leeds Festivals, works with dozens of artists and crews at once and must make sure everything runs smoothly

Logistics and operations

- This includes managing access to the site, setting up equipment, health and safety and getting the right permissions or licences from local councils
- Entrepreneurs must make sure everything works behind the scenes so the audience has a good time

Qualities of successful event entrepreneurs

Profile: Emily Eavis

Emily Eavis has shown strong entrepreneurial qualities through her bold decision-making, creativity, and ability to evolve the Glastonbury Festival while staying true to its values. She has introduced fresh ideas like new stages and diverse line-ups, helping the festival appeal to new generations. Emily has also taken calculated risks, such as booking unexpected headline acts, and shown resilience in managing cancellations during the pandemic. Her vision and leadership have helped Glastonbury remain one of the world's most influential music festivals.



Innovation

- Bringing fresh ideas to stand out from other events (e.g. new themes, stage designs, eco-friendly features)



Examiner Tips and Tricks

Example: Glastonbury's **Arcadia Spider stage** is a 50-tonne fire-breathing structure made from recycled materials that hosts electronic music acts. It allows for aerial performances, light shows, and pyrotechnics, thus offering a unique 360-degree sensory experience



Your notes

Risk-taking

- Starting a music event is financially risky – ticket sales might be low, the weather might be bad or costs might go up unexpectedly
- Entrepreneurs take these risks to chase big rewards



Examiner Tips and Tricks

Example: In 2023, Glastonbury's organisers took a risk by booking **Elton John** for his final UK show, unsure how a classic act would appeal to younger audiences, but it proved hugely successful.

Leadership

- They must inspire and lead a large team, from volunteers to professional contractors
- Good leadership helps everyone stay calm and motivated, especially when problems arise



Examiner Tips and Tricks

Example: Emily Eavis showed strong leadership during the **COVID-19** pandemic by making the difficult decision to cancel Glastonbury Festival in both 2020 and 2021, prioritising public safety and financial stability

Adaptability

- Things often go wrong at events, like artist cancellations, bad weather or technical problems. Entrepreneurs must react quickly.



Examiner Tips and Tricks

Example: In 2021, Glastonbury organisers responded to the pandemic by creating a live-streamed virtual festival, "**Live at Worthy Farm**," allowing fans to enjoy

performances remotely



Your notes

Network-building

- A good entrepreneur builds strong relationships with artists, suppliers, sponsors and fans
- These networks help secure better deals and grow the event year by year



Examiner Tips and Tricks

Example: Glastonbury's organisers have built strong long-term partnerships with charities like Oxfam, Greenpeace and WaterAid

Challenges faced by music event entrepreneurs

Securing funding

- Events often cost thousands (or even millions) of dollars to run. It can be hard to get enough investment or bank loans—especially for new events
- Sponsorship is key, but hard to get without a proven track record



Examiner Tips and Tricks

Example: Boomtown Festival announced financial restructuring in 2023 after higher production costs threatened their future

Booking artists

- Popular performers are expensive and booked months in advance. Smaller festivals struggle to attract big names
- If the line-up is weak, ticket sales may fall



Examiner Tips and Tricks

Example: Latitude Festival has relied more on UK-based talent due to the rising cost of booking international artists

Effective marketing

- With so many events and festivals in the UK, it's hard to stand out

- Marketing must be creative and reach the right audience—especially on digital platforms



Examiner Tips and Tricks

Example: Strawberries & Cream Festival grew quickly through Instagram promotions and student brand ambassadors

Contingency planning

- Entrepreneurs must have backup plans for bad weather, illnesses, tech failures, or even major emergencies (like a power cut or crowd control issue)
- Having insurance and flexible contracts helps reduce risk



Examiner Tips and Tricks

Example: Boardmasters Festival was cancelled in 2019 due to severe weather forecasts, highlighting the need for strong refund and insurance policies



Your notes



Live music events in the UK

- The UK is a global centre for live music
 - Offers a diverse range of events, including festivals, gigs, and club nights
 - Hosts events throughout the year, appealing to fans of all genres
 - Plays a key role in the UK's cultural identity and tourism industry
 - Features both international superstars and emerging local talent
 - Organisers range from independent founders to major promoters like Live Nation and Festival Republic

Major UK music festivals

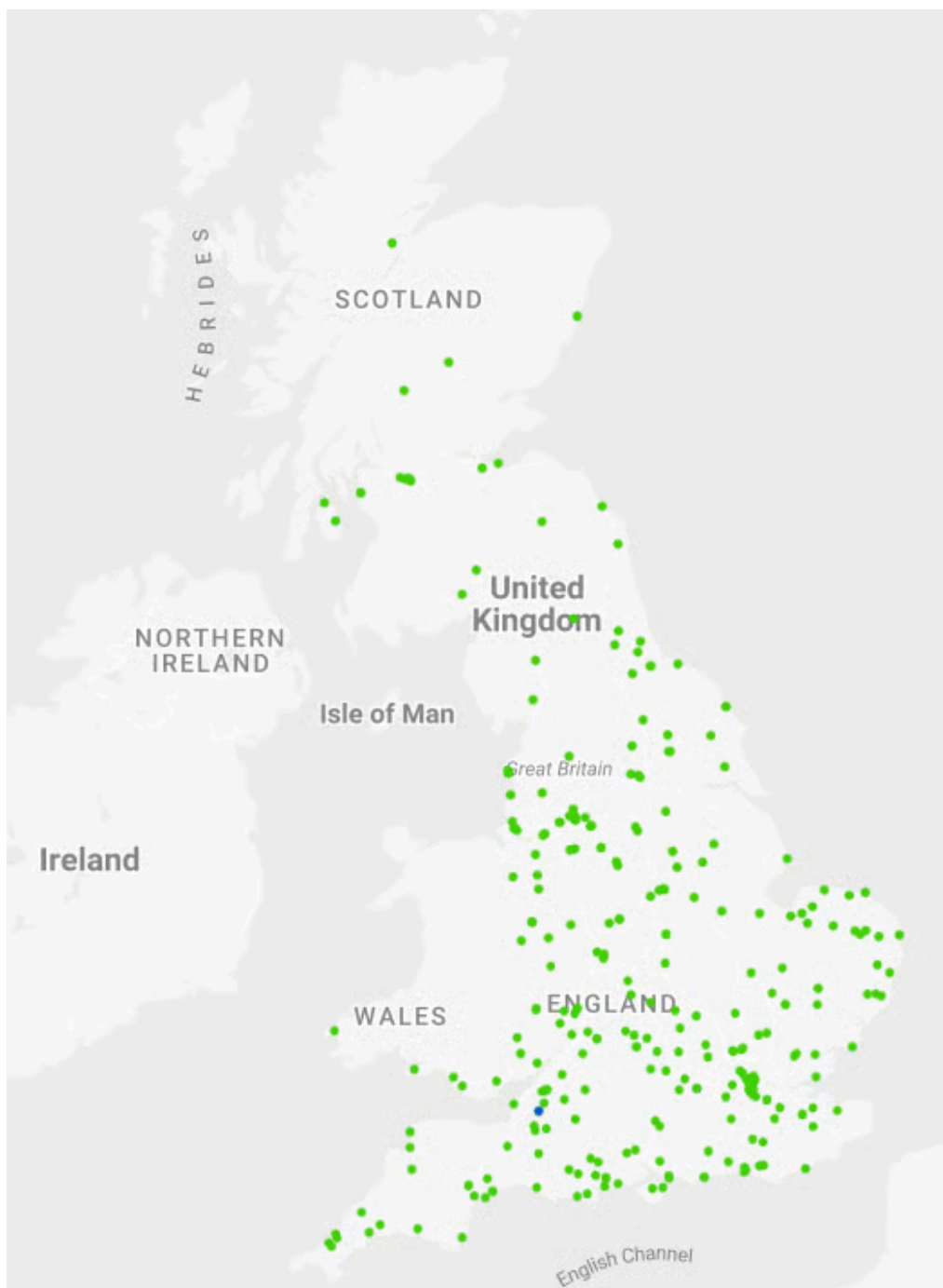
Festival	Information
▪ Glastonbury Festival (Somerset)	▪ Started in 1970 by Michael Eavis; now co-organised with daughter Emily ▪ Attracts around 200,000 attendees annually ▪ Covers a wide range of genres: rock, pop, electronic, world music, etc
▪ Reading and Leeds Festivals	▪ Known for rock, punk, metal, and indie line-ups ▪ Organised by Festival Republic; runs simultaneously in two cities
▪ Download Festival (Donington Park)	▪ Focuses on heavy metal and hard rock ▪ A favourite for fans of bands like Metallica, Iron Maiden and Slipknot
▪ Isle of Wight Festival	▪ Revived in 2002; originally famous for its 1970s events ▪ Offers classic rock and mainstream pop acts
▪ Wireless Festival (London)	▪ Centres on hip-hop, grime, and R&B ▪ Hosted in Finsbury Park or Crystal Palace Park in recent years

Planned UK Music Festivals in 2025

- So far, more than 300 music festivals are planned for the summer of 2025
- They range in size from mega-festivals like Glastonbury, to small, boutique festivals like A New Day Festival in Canterbury which will host around 7000 music fans



Your notes



- **City-based festivals**
 - Examples include Tramlines (Sheffield), and Dot to Dot (Manchester, Bristol)
 - These festivals support up-and-coming artists and local economies



Your notes

- Brighton's The Great Escape festival showcases 500 emerging artists from all over the world in more than 30 venues across the city and a pop-up festival site on the beach
- **Indoor concerts and arena shows**
 - Hosted at venues like The O2 (London), AO Arena (Manchester), and Ovo Hydro (Glasgow)
 - Significant arena tours for 2025 include Billie Eilish, Guns 'n' Roses, Coldplay and Iron Maiden
 - Taylor Swift's eight nights at Wembley Stadium in 2024 as part of her Eras tour drew more than 750,000 music fans
- **Smaller-scale festivals, gigs and live music scenes**
 - Found across UK towns and cities
 - Key venues include:
 - O2 Academy venues (nationwide)
 - King Tut's Wah Wah Hut (Glasgow)
 - Rock City (Nottingham)
 - The Leadmill (Sheffield)
 - Thekla (Bristol)
 - Small venues often promote genres like folk, jazz, punk, electronic, metal and indie
 - Grassroots events often showcase unsigned or early-stage artists
 - They have helped launch major UK acts such as Adele, Ed Sheeran, Arctic Monkeys and Stormzy

Businesses operating in live music events

- Live music events need **many different businesses** to work together
- Each one has a key role, from building the stage to keeping fans safe, selling food, or helping people buy tickets
- Without strong planning and partnerships, the event wouldn't be able to run successfully

1. Promoters



- Promoters plan and run live music events



- They book the artists, organise the venue, manage staff and pay for most of the event costs
 - **Live Nation** is one of the biggest music companies in the world. It runs more than 40,000 events each year and owns many venues. Live Nation works on festivals like Download and Reading & Leeds, and it also owns **Ticketmaster**
 - **Festival Republic**, which is part of Live Nation, runs popular UK festivals like Latitude and Wireless. It organises the whole event, from hiring artists to managing safety and working with councils

2. Venues and infrastructure providers

- These companies supply the physical things that make a live event work. This includes the stage, lights, sound systems, fencing and toilets
 - **Stageco** is a global company that builds large stages for concerts and festivals. It has worked on shows for The Rolling Stones and Glastonbury
 - **PRG** provides sound, lights, and video screens. It works on tours and festivals across the world
 - Smaller UK companies like **DC Site Services** offer toilets, bins, and fencing for festivals like Boomtown

3. Security and crowd control

- Security teams keep the audience safe. They check tickets, search bags, help control big crowds, and deal with emergencies
 - **Showsec** is a large UK security company with thousands of trained staff. It helps keep people safe at events like Creamfields and TRNSMT. Showsec works closely with the police and medical teams
 - Other companies like **G4S Events** provide security at music and sports events

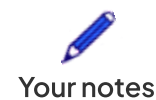
4. Food and drink vendors

- These are the stalls and food trucks that sell snacks, meals, and drinks at live music events.
 - Some are **local independent traders**, like a small vegan burger van or a wood-fired pizza truck
 - Others are big brands like **PepsiCo** or **Heineken**, which run official bars or drink stations
 - At festivals like *Green Man* or *Shambala*, organisers choose vendors who use eco-friendly packaging or local food

5. Ticketing platforms

- These companies sell tickets and help people enter the event. They often collect data for event organisers too
 - **Ticketmaster** is the biggest ticket seller in the world. It sells tickets for concerts, festivals, and sports events. It also provides scanning systems at event gates

- **Dice** is a phone app that sells tickets and stops ticket reselling (scalping). It is popular with younger fans and used by venues like O2 Academy. Dice makes it easy to send a ticket to a friend or join a waiting list



6. Sponsors and partners

- Sponsors help pay for the event. In return, they get to advertise and promote their brand at the festival.
- **Barclaycard** has sponsored *Isle of Wight Festival*, with branded bars and special offers for cardholders
- Other sponsors include **Carlsberg**, **Coca-Cola**, and **Three** (a phone network). They often run fun branded zones or give out free samples
- Some sponsors pay for VIP areas, chill-out tents, or competitions to win tickets

Businesses operating at Wireless Festival

- **Wireless Festival** is a large three-day music event held each summer in London
- It focuses mainly on hip-hop, rap, and R&B, with past headliners including Travis Scott, Cardi B, and Stormzy
- The festival attracts over 50,000 people each day
- A range of businesses work together to make the event a success

Role	Business
Promoter	▪ Festival Republic organises the entire event, including booking headline acts and other performers, working with the council to get event licences, overseeing safety, transport and emergency plans ▪ It also pays upfront costs, expecting to make money from ticket sales, food vendors and sponsors
Infrastructure provision	▪ PRG supplies the sound systems, lights, and large video screens for the stages ▪ DC Site Services puts up fencing, builds pathways, provides toilets, and manages waste removal ▪ Finsbury Park is a public space that must be transformed into a safe event site and returned to a public spaces after the festival
Security and crowd control	▪ Showsec is in charge of checking festivalgoers' bags at the gates, making sure crowds don't get too packed near the stage and working with emergency services and backstage crews ▪ Showsec trains staff before the event and follows strict safety rules throughout the festival



Your notes

Ticketing	▪ Tickets for Wireless are sold online through Ticketmaster, who handle payments and ticket delivery (mostly via mobile app) and run the entry system with scanners at the gates ▪ Following the event, Ticketmaster provides data to Festival Republic to plan future events
Food and drink	▪ Wireless offers dozens of food trucks and stalls, selling burgers, noodles, vegan wraps, and frozen drinks. Branded bars sell products from Heineken and other drink sponsors ▪ Some traders are local, while others are national brands with contracts for multiple events
Sponsors and partners	▪ Gopuff (a delivery app) offers a VIP area with giveaways ▪ Three, a phone company, provides free charging stations and a viewing platform for their customers ▪ Pepsi Max runs a branded stage with DJs and photo booths

Live event revenues

- Live music events make money in many different ways

1. Ticket sales, VIP upgrades and parking

- **Ticket sales** are the main way events earn money
 - For example, Reading & Leeds Festival charges over **£300** for a weekend ticket and sells tens of thousands each year
- Many festivals offer **VIP upgrades**
 - At Wireless Festival, VIP ticket holders get access to private bars, luxury toilets and raised viewing platforms — with VIP tickets costing up to **£500**
- **Parking charges** are also common
 - At Download Festival, parking can cost around **£30–50** per vehicle
- **Camping**
 - Festivalgoers often choose to camp for the duration of the event
 - Whilst a standard pitch at Glastonbury is included in the ticket price, a premium is charged for premium pitches and glamping options such as luxury bell tents and camper vans

2. On-site sales: food, drink, merchandise

- Food and drink stalls pay a fee to trade at the festival and sometimes give the organiser a share of their profits



Your notes

- Prices are higher than normal — a burger can cost **£10**, and a pint of beer **£7–9**
- **Official merchandise** like artist t-shirts or hoodies can sell for **£30–£60**
- Festivals often have their own branded merchandise too, such as caps or reusable cups

3. Sponsorship and branding deals

- Big brands sponsor festivals in return for advertising and exclusive deals.
 - **Barclaycard** has sponsored Isle of Wight Festival, giving customers discounts and running branded bars
 - **Three (the mobile network)** sponsors Wireless Festival, offering customers special areas with free phone charging and better views
- These deals can be worth hundreds of thousands of pounds to the promoter

4. Streaming or broadcasting rights

- **Broadcasters** like the **BBC** pay for the rights to film and show festivals like *Glastonbury* on TV and online
- **Amazon Prime Video** has also streamed music festivals, giving fans around the world a way to watch at home
- These deals bring in extra income and promote the event to a bigger audience

Trends and innovation at live music events

1. Increased use of RFID wristbands and mobile apps

- Many festivals now use **RFID wristbands** instead of tickets. Fans tap them to enter, buy food or drinks and even access VIP areas
 - Isle of Wight Festival and All Points East both use this system
- Festival apps also help fans find stage times, top up cash balances or share their location with friends



Your notes



2. Focus on sustainability

- Many festivals now try to be more eco-friendly
 - *Glastonbury* bans plastic bottles and encourages reusable cups and bottles
 - *Shambala Festival* runs on **renewable energy** and gives fans the chance to **offset carbon emissions** from their travel
 - Some festivals offer **discounted tickets for people using public transport** or shared travel options

3. Growth in hybrid and digital formats

- Since **COVID-19**, many events offer **online streaming** as well as in-person tickets
 - *Tomorrowland* created a fully digital festival during lockdown with virtual stages
- Even now, festivals use **TikTok, Instagram, or YouTube** to stream performances, backstage clips, and interviews for fans at home



Managing resources

1. Human resources

- This means managing people — including staff, volunteers, security teams, cleaners, and artist support workers
 - **Hiring temporary staff and volunteers**
 - Live events often need hundreds or even thousands of temporary workers. These may include ticket scanners, stewards, bar staff, and backstage crew
 - Volunteers are often given free tickets in return for their time. Charities like **Oxfam** run stewarding teams at events like *Latitude* and *WOMAD*
 - **Training in safety and customer service**
 - Staff must know how to help people in an emergency, deal with crowd control, and speak politely to customers
 - **Showsec** provides training for security staff working at events like *Wireless Festival* and *BBC Radio 1's Big Weekend*
 - **Example: Glastonbury Festival**
 - Glastonbury uses **over 30,000 staff and volunteers** to help manage everything from ticketing and security to recycling and artist management

2. Physical resources

- This includes all the equipment and materials needed to build and run the event.
 - **Staging, lighting, and sound**
 - Companies like **PRG** and **Stageco** provide huge custom-built stages, lighting rigs and sound systems
 - Smaller stages are often used for DJs, workshops or comedy acts
 - **Toilets, fencing, and accommodation**
 - Events need portable toilets, fencing to manage crowd movement, bins, hand-washing stations and sometimes tents or cabins for staff and performers
 - Power and water also have to be supplied, often using generators
 - **Example: Boomtown Festival**
 - Boomtown builds an entire **themed village** with film-style sets, stages, and props. It remains of the most complex physical builds in the UK festival scene

3. Financial resources



- This involves planning, budgeting, and managing money before, during, and after the event
 - **Budget planning**
 - Key costs include: artist fees, infrastructure (stages, toilets, fencing), security, staff wages, marketing, insurance and licences
 - Headline artists can charge **£100,000–£1 million+**, depending on their fame
 - **Income from tickets, sponsors, and extras**
 - Events earn money from ticket sales, VIP upgrades, parking, food and drink sales and sponsorship
 - Many festivals offer **tiered pricing** – where early bird tickets are cheaper and prices go up over time
 - **Example: Y Not Festival**
 - This small-to-medium UK festival uses **tiered ticket pricing** to help spread income across the year and manage cash flow

4. Information resources

- This includes software, data, and digital tools used to organise the event and keep things running smoothly
 - **Ticketing and artist schedules**
 - Systems like **Ticketmaster**, **Eventbrite**, or **Event Genius** track who's attending, when acts are performing and where staff are based
 - Artist riders (special requests for dressing rooms, etc.) are also tracked
 - **Communication and coordination**
 - Walkie-talkies, mobile phones, and **event apps** are used to share updates with staff and festivalgoers
 - Some events use live messaging systems for emergencies or weather warnings
 - **Example: Reading & Leeds Festivals**
 - They use a **mobile app** with real-time updates, stage times, interactive maps and notifications for schedule changes or weather issues

5. Risk and contingency management

- Festivals must prepare for things that could go wrong and have back-up plans ready
 - **Common risks**
 - Bad weather, artist no-shows, technical problems, medical emergencies or overcrowding
 - Wet weather can damage stages and delay performances



Your notes

- **Insurance and back-up suppliers**
 - Most events take out **event cancellation insurance** and have back-up suppliers for power, fencing or sound
 - Schedules often include **buffer times** in case of delays
- **Example: Camp Bestival (2023)**
 - High winds damaged part of the main stage. Organisers had to **quickly rework the schedule**, moving performances to other areas and keeping fans informed

6. Sustainability and compliance

- Festivals must follow the law and try to reduce their impact on the environment
 - **Legal compliance**
 - This includes licences for music, alcohol sales, safety inspections and noise limits
 - **Eco-friendly actions**
 - Many events now offer **recycling points**, **compost toilets** and encourage **public transport** or **carbon offsetting**
 - Plastic bottle bans and reusable cups are now common
 - **Example: Green Man Festival**
 - This Welsh festival is known for its **low-waste policy**, **solar-powered areas** and local food sourcing. It has won awards for its environmental efforts

Case study: When things go right

- **Green Man Festival** is a four-day music and arts event held in the Brecon Beacons, Wales
- It attracts around 25,000 people each year and is praised for its peaceful atmosphere and focus on sustainability



Your notes



Resource	Success
Human resources	▪ Around 5,000 staff and volunteers are hired each year, including stewards, bar staff and artist handlers
Physical resources	▪ The site includes 10+ music stages, camping areas, a children's zone and wellness spaces – all built on a greenfield site
Financial resources	▪ Green Man sells early bird tickets, weekend passes, and family packages ▪ Sponsors and stallholder fees also support the budget
Information resources	▪ The official app provides maps, set times and eco-guides ▪ Crew use digital walkie-talkies to stay in touch
Risk management	▪ The team prepares for weather disruptions and crowd safety issues, with trained first aiders and back-up plans in place
Sustainability	▪ The festival avoids plastic, runs food waste composting and encourages train travel with shuttle buses from the station ▪ It has won multiple A Greener Festival Awards

Case study: When things go wrong



Your notes



- **Boardmasters** is a popular five-day festival in Cornwall, UK, combining live music with surfing and beach events
- It normally attracts around 50,000 people and features top acts like Florence + The Machine and Foals
- But in 2019, just 12 hours before gates were due to open, the organisers cancelled the entire festival due to safety concerns over extreme weather
- While safety was the main reason, the cancellation exposed problems across several areas

Resource	Failure
Human resources	■ Thousands of temporary workers and volunteers were already on site, including stage crew, bar staff and stewards ■ Many had travelled long distances and had nowhere to stay after the cancellation. ■ Some staff claimed they were not informed directly and only found out through social media or news reports ■ Lack of clear internal communication left workers confused and caused distress
Physical resources	■ Strong winds and heavy rain were forecast, and stages, tents, and fencing were already in place ■ Some infrastructure was not yet fully secured, and there were risks that tents and scaffolding could collapse or blow over, creating danger for staff and early arrivals ■ Power generators and temporary roads were already being installed, but heavy rainfall threatened to flood parts of the



Your notes

	site
Financial resources	▪ The cancellation happened after most infrastructure had been built, meaning many costs had already been paid (e.g. artist deposits, logistics and staffing) ▪ Refunds had to be issued for tens of thousands of tickets, losing millions in revenue ▪ Food vendors and traders who had stocked up also lost income, with some reporting over £5,000 in wasted supplies
Information resources	▪ Fans complained that they only found out about the cancellation via Twitter or Instagram ▪ The festival's website and app crashed due to high traffic ▪ No clear information system was in place to handle customer questions, refunds, or travel plans, leading to confusion and frustration
Risk and contingency management	▪ While the organisers made the right decision to cancel due to safety, the timing was criticised ▪ Some questioned why there wasn't a stronger backup plan or clearer weather contingency ▪ Emergency plans for things like artist rescheduling, staff redeployment, or communication breakdowns were not well executed
Sustainability and compliance	▪ Since the cancellation happened late, large amounts of waste (food, fuel, packaging) were left behind ▪ Traders had already delivered food and drink, which then went unused and unrefrigerated ▪ Local residents were left with traffic and environmental damage - heavy vehicles had churned up the land, and there were complaints about the lack of clean-up support

Lessons learned

- Boardmasters 2019 shows how even well-established festivals can face serious problems if risk planning and resource management are not strong enough
- In particular:
 - Events must have **clear communication** plans for staff and customers
 - **Contingency** plans should be tested in advance, especially for weather
 - **Information systems** need to be able to cope with emergencies and high demand.

- Even if an event is cancelled, organisers must consider the **financial** and **environmental impact**



Your notes



Practice 8–mark questions for the 2025 exam

- Have a look at our guide to [structuring your 8–mark answer](#)
- Mark allocation
 - Knowledge 2; application 2, analysis 2; evaluation 2
- Use the [example source booklet](#) to answer the following questions

Theme 1 (Marketing and People)

Question	Information
Assess two ways an independent record store could build a strong brand identity to gain customer loyalty (8)	▪ Pre–release link: Indie retailers rely on events like Record Store Day and community “feel” ▪ Syllabus link ▪ 1.3.2 Branding and promotion ▪ 1.3.5 Marketing strategy
Assess how knowledgeable and passionate staff in HMV stores can enhance customer experience and brand loyalty (8)	▪ Pre release link: HMV focuses on “experiential” retail and invests in staff expertise. ▪ Syllabus link ▪ 1.4.4 Motivation in theory ▪ 1.1.3 Market positioning

Theme 2 (Managing Business Activities)

Question	Information
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Your notes

Assess the importance of controlling operational costs for a boutique festival such as Brackenwood (8)	▪ Pre-release link: Brackenwood faces variable costs, including last-minute infrastructure changes ▪ Syllabus link ▪ 2.2.4 Budgets ▪ 2.4.1 Production, productivity, efficiency (cost control)
Assess how the rise in vinyl demand could influence stock management decisions for major music retailers such as HMV	▪ Pre-release link: Physical inventory management for vinyl pressings vs. declining CD sales ▪ Syllabus link ▪ 2.4.3 Stock control ▪ 1.1.1 The market (dynamic changes)

Theme 3 (Business Decisions and Strategy)

Question	Information
Assess how HMV's diversification into live events, merchandise and apparel might help it to maintain competitiveness in a streaming-focused market	▪ Pre-release link: HMV's "experiential" approach aims to differentiate from streaming services ▪ Syllabus link ▪ 3.1.2 Theories of corporate strategy (diversification) ▪ 3.2.1 Growth objectives
Assess how boutique festivals might address the challenge of rising artist fees and security costs	▪ Pre-release link: Smaller festivals face competition from larger events with bigger budgets ▪ Syllabus link ▪ 3.2.4 Reasons for staying small ▪ 3.1.1 Corporate objectives

Theme 4 (Global Business)

Question	Information
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Your notes

Assess the opportunities for UK record labels in using social media platforms to launch local artists onto global streaming charts	▪ Pre-release link: TikTok, Instagram Reels, and YouTube Shorts can drive international exposure ▪ Syllabus link ▪ 4.2.1 Conditions prompting trade (pull factors) ▪ 4.2.2 Assessment of a country as a market
Assess how the global popularity of streaming may affect UK-based festival promoters trying to attract overseas visitors and international sponsors	▪ Pre-release link: Festivals compete globally for artists and audiences, building brand presence abroad ▪ Syllabus link ▪ 4.3.1 Global marketing strategy ▪ 4.4.1 Impact of MNCs (global competition)

Practice 10–mark questions for the 2025 exam

- Have a look at our guide to [structuring your 10–mark answer](#)
- Mark allocation
 - Knowledge 2; application 2, analysis 3; evaluation 3
- Use the [example source booklet](#) to answer the following questions

Theme 1 (Marketing and People)

Question	Information
Assess the extent to which improved staff training at HMV could boost employee motivation and store sales	▪ Pre-release link: HMV's strategy to make in-store shopping an experience ▪ Syllabus link ▪ 1.4.2 Recruitment, selection, training ▪ 1.4.4 Motivation in theory



Your notes

Assess the effectiveness of independent record shops' niche marketing techniques in attracting customers in a streaming-dominated market	▪ Pre-release link: "We don't just sell records; we sell a sense of community" ▪ Syllabus link ▪ 1.1.1 Mass vs. niche markets ▪ 1.3.5 Marketing strategy
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Theme 2 (Managing Business Activities)

Question	Information
Assess how robust financial planning could help smaller festivals like Brackenwood achieve long-term viability	▪ Pre-release link: Weather and last-minute logistics can disrupt budgets severely ▪ Syllabus link ▪ 2.1.4 Planning (business plans, cash-flow) ▪ 2.3.3 Business failure
Assess the significance of production and distribution costs to record labels' long-term profitability	▪ Pre-release link: Rising interest in vinyl vs. potential plateau in demand ▪ Syllabus link ▪ 2.3.1 Profit (costs vs. revenue) ▪ 2.4.3 Stock control (fulfilling vinyl demand)

Theme 3 (Business Decisions and Strategy)

Question	Information
Assess how HMV's corporate objectives may conflict with short-term cost-cutting measures	▪ Pre-release link: HMV invests in in-store events, staff wages, and exclusives ▪ Syllabus link ▪ 3.1.1 Corporate objectives ▪ 3.1.2 Porter's Strategic Matrix / corporate strategy
Assess the extent to which collaborations with sponsors and local communities	▪ Pre-release link: Festivals face growing security fees, artist demands, and



Your notes

could help boutique festivals cope with rising operational costs

- logistics bills
- **Syllabus link**
 - [3.6.1 Causes and effects of change](#)
 - [3.1.2 Ansoff's Matrix \(joint ventures/partnerships\)](#)

Theme 4 (Global Business)

Question	Information
Assess how understanding viral social media trends could support a UK music retailer to target international audiences online	▪ Pre-release link: TikTok can spark global interest in local tracks ▪ Syllabus link ▪ 4.3.1 Global marketing strategies ▪ 4.2.1 Conditions prompting trade
Assess the potential benefits and drawbacks for UK festivals of partnering with international headliners and sponsors	▪ Pre-release link: Large festivals in the UK already attract worldwide fans, but cost and complexity rise ▪ Syllabus link ▪ 4.2.4 Reasons for global mergers or joint ventures ▪ 4.4.1 Impact of MNCs

Practice 12–mark questions for the 2025 exam

- Have a look at our guide to [structuring your 12–mark answer](#)
- Mark allocation
 - Knowledge 2; application 2, analysis 4; evaluation 4
- Use the [example source booklet](#) to answer the following questions

Theme 1 (Marketing and People)

Question	Information
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Your notes

Assess how a strong brand identity could help smaller independent record shops to attract customers, despite the popularity of streaming	▪ Pre-release link: Independent record stores focus on community, hosting live events, and limited-edition vinyl to stand out ▪ Syllabus link ▪ 1.3.2 Branding and promotion (building a brand) ▪ 1.1.3 Market positioning (competitive advantage)
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Theme 2 (Managing Business Activities)

Question	Information
Assess the importance of careful budgeting for a small festival like Brackenwood	▪ Pre-release link: Brackenwood's budget is affected by last-minute infrastructure changes and tight finances ▪ Syllabus link ▪ 2.2.4 Budgets (purpose and difficulties) ▪ 2.5.3 The competitive environment (handling competition on limited resources)

Theme 3 (Business Decisions and Strategy)

Question	Information
Assess how Lucy Graham's decision to keep Brackenwood Festival small and community-focused could affect its future success	▪ Pre-release link: Brackenwood stays local, invests in sustainability, and uses smaller acts instead of big-name headliners ▪ Syllabus link ▪ 3.2.4 Reasons for staying small (flexibility, niche appeal) ▪ 3.2.1 Growth objectives (trade-off between growth and control)

Theme 4 (Global Business)

Question	Information
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Your notes

Assess how viral social media trends might help UK artists reach fans in other countries	▪ Pre-release link: TikTok rapidly boosts songs to global audiences, but popularity can fade quickly ▪ Syllabus link ▪ 4.3.1 Global marketing (using social platforms for international reach) ▪ 4.2.1 Conditions that prompt trade (push/pull factors to enter new markets)
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Practice 20–mark questions for the 2025 exam

- Have a look at our guide to [structuring your 20–mark answer](#)
- Mark allocation
 - Knowledge 4; application 4, analysis 6; evaluation 6
- Use the [example source booklet](#) to answer the following questions

Theme 1 (Marketing and People)

Question	Information
Evaluate how HMV could use improved staff training and a broader product range to keep customers loyal in a streaming-led market. Recommend which strategy might most improve long-term sales	▪ Pre-release link: HMV trains passionate staff, diversifies into merchandise, in-store events, and exclusives ▪ Syllabus link ▪ 1.4.2 Recruitment, selection and training (staff expertise) ▪ 1.3.5 Marketing strategy (product ranges for different customers)

Theme 2 (Managing Business Activities)

Question	Information
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Your notes

Evaluate whether a small festival like Brackenwood should rely on external finance (e.g., bank loans or sponsors) to grow. In your answer, recommend the best funding approach to keep Brackenwood competitive	▪ Pre-release link: Brackenwood started via crowdfunding and local sponsorships but faces limited cash flow and higher costs ▪ Syllabus link ▪ 2.1.2 Raising finance (sources of external finance) ▪ 2.1.4 Planning (importance of a clear business plan for expansion)
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Theme 3 (Business Decisions and Strategy)

Question	Information
Evaluate whether a boutique festival like Brackenwood should adopt cost leadership or differentiation (Porter's Strategic Matrix) to remain competitive. In your answer, recommend which strategic approach is likely to bring Brackenwood the greatest long-term success	▪ Pre-release link: Brackenwood is small, niche, and eco-friendly but faces higher costs and strong rivals ▪ Syllabus link ▪ 3.1.2 Theories of corporate strategy (Porter's Strategic Matrix) ▪ 3.2.4 Reasons for staying small (USP, flexibility)

Theme 4 (Global Business)

Question	Information
Evaluate whether UK record retailers should sell vinyl abroad through international distribution partnerships or open a small chain of physical stores overseas to capitalise on the global vinyl boom. In your answer, recommend which of these two strategies is more likely to succeed in boosting brand awareness and profits abroad	▪ Pre-release link: Vinyl demand is growing worldwide; UK retailers such as HMV or independents could expand by partnering with foreign distributors or launching stores abroad ▪ Syllabus link ▪ 4.2.5 Global competitiveness (differentiation vs. cost challenges, skill availability)

- 4.2.2 Assessment of a country as a market (ease of doing business, infrastructure, local demand)



Your notes